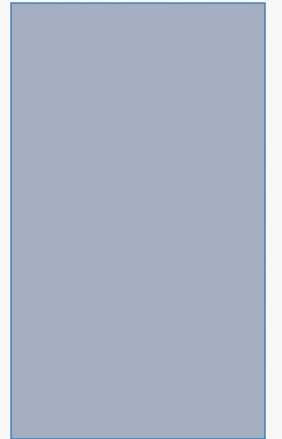


THE CONTROLLING PROCESS

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WHAT IS CONTROL?

- Setting plan, establishing the structure and directing the people do not guarantee that every thing in the organization is going on well.
- Thus, control process is very important for all types of organizations.
- Control to define is making sure that something happens the way it was planned to happen. As implied in this definition, planning and controlling are inseparable functions.
- Controlling is also the task of ensuring that the activities are providing the desired results.

WHY CONTROL IS IMPORTANT?

- Plans rarely go smoothly. Most plans are executed by people and people vary in their abilities, motivations and honesty.
- Plans become outdated and require revisions.
- For these reasons control is an important management function.
 - Control means controlling every task in an organization whether it is large, or delegated to some employee.
 - Thus for every task delegated, there has to be a control system that ensures completion of performances in line with the plans.

PREREQUISITES OF CONTROL SYSTEM

Control Requires Planning:

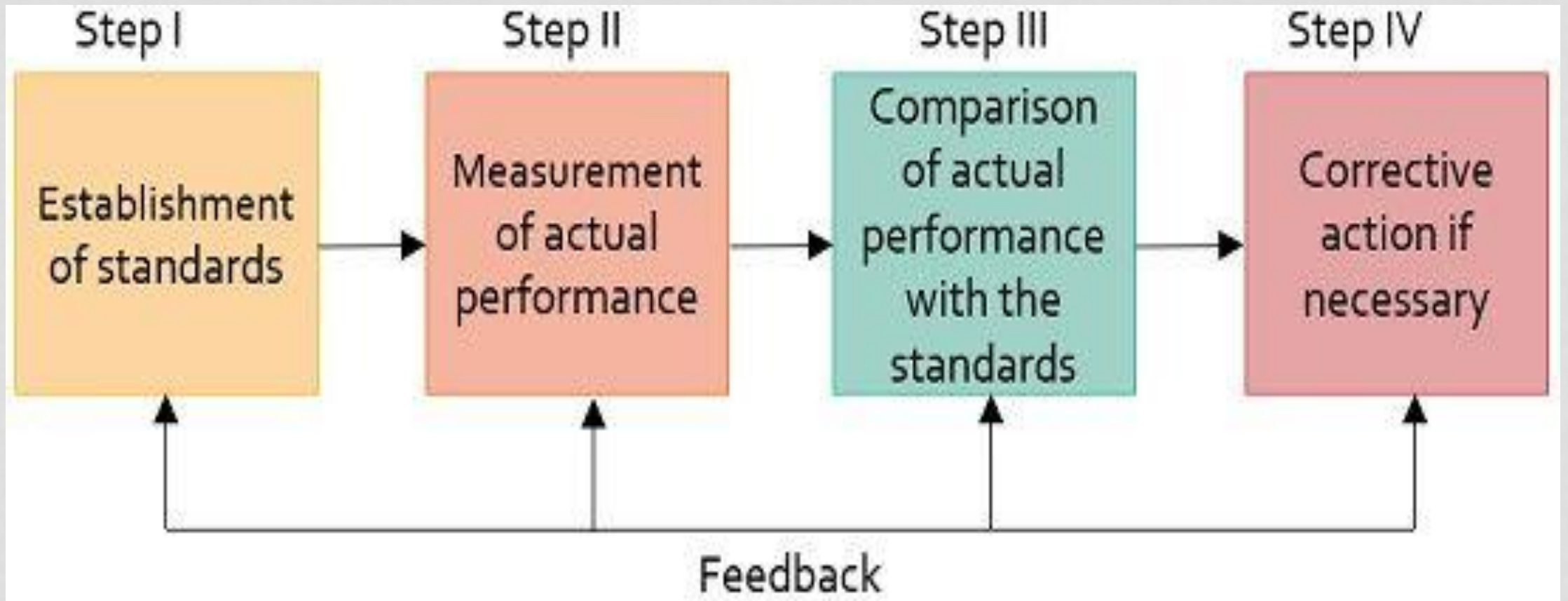
- All meaningful control techniques are, planning techniques
- It is worthless to design control plans without taking in account how well the plans are made.

Control Requires Organization Structure:

- Purpose of control is to measure activities and take action to assure that plans are being accomplished.
- Control of activities operates through people.
- Therefore a major prerequisite of control is the existence of an organizational structure.

THE CONTROL PROCESS

Control process involves the following steps as shown in the figure:



1. Establishing Standards

- This means setting up of the target which needs to be achieved to meet organizational goals eventually. Standards indicate the criteria of performance.
- Control standards are categorized as quantitative and qualitative standards. Quantitative standards are expressed in terms of money. Qualitative standards, on the other hand, includes intangible items.

2. MEASUREMENT OF ACTUAL PERFORMANCE:

- The actual performance of the employee is measured against the target. Once the task is completed, it is the job of the manager to measure the performance of the employees. The manager will analyze the performance of each employee and ask them to submit their report of work.
- With the increasing levels of management, the measurement of performance becomes difficult.

3. Comparison of Actual Performance with the Standard

- This compares the degree of difference between the actual performance and the standard.
- After the measurement of the actual report, a comparison is made between the actual performance and the pre-decided standard performance and the difference is calculated between both the performances and a report is generated after the analysis of the performance of all employees.

4. Taking Corrective Actions if Required

- This step is initiated by the manager who corrects any defects in actual performance.
- When the performance of each employee is analyzed, and the difference between the target given to them and the percentage of target achieved by them is observed, then required actions are taken as per the policy of the company and the past performance of the employee.

REQUIREMENTS FOR ADEQUATE CONTROL

- Control should be tailored to plans and positions.
- Control must be tailored to individual managers and their responsibilities.
- Control should point up exceptions as critical points.
- Control should be objective.
- Control should be flexible.
- Control should be economical.
- Control should lead to corrective actions.

TYPES OF CONTROL

- **Pre Control:** Control that takes place before the work performed. It is also known as Feed-forward Control.
- Pre control focuses on eliminating predicted problems.
- **Concurrent Control:** Refers to the control that takes place as work is being performed.
- **Feedback Control:** This refers to the control that concentrates on the post organizational performance.

BARRIERS TO SUCCESSFUL CONTROLLING

Barriers to controlling include:

- Control activities can create undesirable overemphasis on short term production as opposed to long term production.
- Control activities can increase employee's frustration.
- Control can encourage falsification of reports.